

Session 3.1: Platform Envelopment Attacks

Cross-market feature bundling, overlapping user bases, and Microsoft Teams vs. Slack.

PART 1 (LECTURE)
60 Minutes

PART 2 (LAB PRACTICE)
60 Minutes

PART 3 (EXECUTIVE MEMO)
60 Minutes

STANDARD
Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

ENVELOPMENT THEORY

Vocabulary

Key Topical Foundations

- **Eisenmann, Parker, Van Alstyne::** Platform envelopment mechanisms (2011).
- **Shared User Relationships::** Entering adjacent markets using existing customer base.
- **Zero Marginal CAC::** Bundling complementary software into enterprise licenses.
- **Micro-Examples::** Browser wars (Windows/IE), Uber Eats, Apple Pay.

Theoretical Foundations: Envelopment Theory

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

- **Eisenmann, Parker, Van Alstyne::** Platform envelopment mechanisms (2011).
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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- **Standalone Leader::** Slack pioneered enterprise collaboration software.
- **Ecosystem Envelopment::** Microsoft bundled Teams into Office 365 for free.
- **Scale Shock::** Teams passed 100M DAUs; Slack S&M intensity stayed >50%.
- **M&A Outcome::** Slack agreed to be acquired by Salesforce for \$27.7B.

STRATEGIC TAKEAWAY

Cross-market feature bundling, overlapping user bases, and Microsoft Teams vs. Slack.

Enterprise Case Dissection: Teams vs. Slack

Historical case evidence and multi-year corporate trajectory analysis.

CORPORATE DYNAMICS

Timeline

Market Conditions & Strategic Moves

- *Standalone Leader::* Slack pioneered enterprise collaboration software.
- *Ecosystem Envelopment::* Microsoft bundled Teams into Office 365 for free.
- *Scale Shock::* Teams passed 100M DAUs; Slack S&M intensity stayed >50%.
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ANALYTICAL FOCUS

Evidence

Operational & Financial Findings

- *Comparative Dataset::* Slack Technologies vs. Microsoft Productivity financials.
- *Slack S&M Intensity::* Sales & Marketing / Revenue (=D2/C2*100).
- *Microsoft Segment Margin::* Productivity Operating Margin (=E5/C5*100).
- *Financial Asymmetry::* Slack S&M was ~50% of revenue while MSFT margin > 40%.

Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

SPREADSHEET MODELING

Lab Spec

Data Metrics & Formulas

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MANAGEMENT DILEMMA

Decision Lab

Strategic Tension

- **CSO Strategic Defense::** Evaluating Slack defensive options in 2018.
- **Three Options::** Product differentiation vs. open alliance vs. sale to platform.
- **Salesforce Justification::** Economic rationale for why selling was the right choice.
- **Executive Memo::** Defensive playbook for standalone software apps.

Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

Corporate Strategic Tension

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EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- **Actionable Recommendation:** Formulate a concrete 3-bullet decision brief for senior leadership.
- **Quantitative Defense:** Support recommendations using audited financial metrics from the lab spreadsheet.
- **Risk Mitigation:** Address channel friction, partner resistance, or competitive retaliation.
- **Implementation Timeline:** Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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